January 27, 2026

# HOUSE
# RESOLUTION No. 12

*Introduced by: DeLaney*

January 27, 2026, read first time and referred to Committee on Government and Regulatory Reform.

A HOUSE RESOLUTION establishing a House Select Committee on Accountability and Handling of Economic Development Appropriations to investigate the financial, administrative, and procedural practices of the Indiana Economic Development Corporation and its affiliated entities, and to make findings and recommendations for improved transparency and stewardship of public funds.

*Whereas, The Indiana Economic Development Corporation (IEDC) was established as a public instrumentality of the State of Indiana to advance economic prosperity, attract investment, and promote job creation across the state;*

*Whereas, The IEDC operates in connection with the Indiana Economic Development Foundation, Inc. (IEDF), a nonprofit subsidiary corporation created by Indiana Code 5-28-5-13 to solicit and administer private donations to support the IEDC's* *mission;*

*Whereas, A forensic review of the IEDC and its affiliated entities, covering the period from January 1, 2022, through December 31, 2024, identified deficiencies in governance, oversight, and fiscal control;*

*Whereas, The audit report cited instances of noncompetitive or no-bid contracts, insufficient documentation of expenses, and inadequate internal review processes;*

*Whereas, The report also found donor relationships between contributors to the IEDF and entities receiving financial incentives, contracts, or payments from the IEDC, creating the appearance of conflicts of interest;*

*Whereas, The same review identified the LEAP District development project as comprising nearly one-third of all IEDC expenditures during the audit period, with incomplete appraisals and limited environmental due diligence;*

*Whereas, Subsequent news reports reflected public concern about transparency, accountability, and oversight within the IEDC's contracting and financial practices;*

*Whereas, Article 4, Section 17 of the Constitution of the State of Indiana provides the Indiana House of Representatives with the sole authority to raise revenue, and therefore, the Indiana House of Representatives bears a key responsibility to safeguard the integrity of public funds and ensure their lawful, efficient, and ethical expenditure;*

*Whereas, IC 2-4 empowers the House of Representatives to conduct investigations, issue subpoenas, compel testimony, and obtain records in aid of its legislative functions; and*

*Whereas, It is in the public interest for the House of Representatives to establish a select committee to investigate the financial and administrative operations of the IEDC and its affiliates and to recommend statutory and procedural reforms to prevent misuse or mishandling of taxpayer dollars: Therefore,* *Be it resolved by the House of Representatives of the General Assembly of the State of Indiana:*

SECTION 1. That there is hereby established the House Select Committee on Accountability and Handling of Economic Development Appropriations (hereinafter referred to as the Committee).

SECTION 2. That the Committee shall consist of eleven (11) members of the House of Representatives. Seven (7) members shall be appointed by the Speaker. Four (4) members shall be appointed by the Minority Leader. The Speaker shall designate one (1) member as Chair and one (1) member as Vice Chair. Vacancies shall be filled in the same manner as the original appointment.

SECTION 3. That (a) For purposes of this resolution, "affiliated entity" refers to:

(1) a foundation or other entity established to benefit the IEDC;

(2) a person engaged to assist the IEDC in the administration of programs under IC 5-28;

(3) a person, other than the Treasurer of State, the State Comptroller, or the IEDC, engaged in investing, lending, granting, or otherwise exerting administrative control over public money; or

(4) a corporation or similar entity in which the Secretary of Commerce, the IEDC president, or a member of the IEDC board of directors serves on the governing body of the corporation or other entity.

(b) The term includes any of the following:

(1) A nonprofit subsidiary corporation established under IC 5-28-5-13.

(2) A local economic development organization described in IC 5-28-8-4(6)(C) or IC 5-28-8-4(6)(F).

(3) A corporation that establishes a local opportunity pool under IC 5-28-18-13.

SECTION 4. That the Committee shall investigate, review, and report upon: (1) the policies, procedures, and financial practices of the IEDC and affiliated entities; (2) the use and oversight of taxpayer funds by the IEDC and affiliated entities; (3) compliance with procurement and ethics laws by the IEDC and affiliated entities; (4) transparency in IEDC and affiliated entity operations; (5) prevention of fraud, waste, and abuse of public resources by the IEDC and their affiliated entities; and (6) the LEAP District including: (a) the IEDC and affiliated entities' financing of the LEAP District and associated projects; (b) the IEDC and affiliated entities' purchase and sale of real property for the LEAP District and associated projects; and (c) the IEDC and affiliated entities' acquisition of and planning for the use of water and other natural resources and the LEAP District's impact on the regional water supply.

SECTION 5. That the Committee shall have all powers granted by IC 2-4-1-1 through IC 2-4-1-4, and IC 2-4-2-1, including the power to subpoena witnesses, compel the production of records, administer oaths, and take sworn testimony. Subpoenas shall be signed by the Speaker and served by the Chief Doorkeeper or an individual designated by the Speaker. Failure to comply may constitute a Class A misdemeanor under IC 2-4-1-4.

SECTION 6. That the Legislative Services Agency shall provide staff and technical assistance. Members shall serve without additional compensation but may be reimbursed for expenses. The Committee may, with approval of the Speaker, retain consultants or auditors to assist in its review.

SECTION 7. That the Committee shall issue a final report no later than June 30, 2026, with findings and legislative recommendations, including statutory and procedural reforms to: (1) prevent the misuse or mishandling of taxpayer money; (2) improve the structure of Indiana's economic development system; and (3) require the general assembly's approval before the IEDC and its affiliated entities are authorized to spend money appropriated for economic development purposes. All reports shall be public records.

SECTION 8. That the Committee shall terminate ninety (90) days after submission of its final report, and all records shall be transferred to the Legislative Services Agency for preservation.